

Understanding Your Target Customer

Essential Reading Resource — SB Pathways

One of the Most Important Questions in Business

Many small business owners spend significant time thinking about their product, service, or business idea — but successful businesses also spend time understanding who they are trying to serve.

The clearer you are about your target customer, the easier it becomes to market effectively, price appropriately, build loyalty, and make better business decisions.

1. Your Customer Is Not “Everyone”

Most successful businesses serve a more specific group particularly well.

Specificity creates clarity and helps improve communication, marketing, and customer alignment.

2. Think Beyond Demographics

Customer understanding also includes:

- motivations
- frustrations
- habits
- values
- priorities

Ask yourself:

- What problem are they trying to solve?
- Why would they choose my business?

3. Understand the Customer’s Situation

Customers often buy more than the product itself.

They may actually be buying:

- convenience
- confidence
- trust
- relief
- simplicity

4. Listen More Than You Assume

Conversations, reviews, surveys, and customer behavior provide valuable insight.

Customers often tell you exactly what matters — if you listen closely.

5. Your Best Customers Often Share Patterns

Look for patterns among your strongest customers:

- repeat buyers
- referrals
- profitable customers
- customers who value the service most

Final Thought

Businesses often succeed not because they serve the most people — but because they serve the right people well.

The better you understand your customer, the easier it becomes to build a business that truly connects with the people it is designed to serve.